

Ideas Have Consequences: The Impact of Law and Economics on American Justice

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Motivation & Research Question

- Can exposure to powerful new ideas directly change the high-stakes decisions of public officials? Tested here on U.S. federal judges.
- Setting: the Manne Economics Institute for Federal Judges (1976-1999), an intensive two-week economics 'camp' run by the Law and Economics Center.
- Reach: almost half of all federal judges attended; by the late 1990s about half of circuit cases had a Manne judge on the panel.
- Why it matters: U.S. common-law judges make precedent, and the overwhelming majority of circuit decisions are final - so a shift in judicial reasoning becomes law.
- Question: did economics training change (i) the language judges use, (ii) how they rule on regulation, and (iii) criminal sentencing?
 - Sharp test: pure 'formalist' and pure 'political' models of judging both predict NO effect; any effect implies an ideas channel.

Background: The Manne Program & Law and Economics

- Law and economics applies economic analysis to law - cost-benefit criteria, efficiency, legal incentives, freedom of contract (Chicago School roots).
- The course: all-expenses-paid two-week camp; lecturers included Milton Friedman, Armen Alchian, Harold Demsetz, Paul Samuelson, Orley Ashenfelter; first-name norm, rigorous but informal.
- Admissions first-come, first-served with no targeted recruiting; popular across the spectrum and often oversubscribed; controversial - funded by business and conservative foundations.
- Curriculum: price theory, bargaining, externalities, property rights, torts, contracts, monopoly/regulation, and basic statistics.
- Ex-ante domains of interest: deregulation (labor & environmental agencies), permissive antitrust, and deterrence-based criminal sentencing.

Data

- Circuit Courts: the universe of published U.S. appellate opinions (Bloomberg Law), full three-judge panel + authoring judge identified.
 - About 30% of circuit cases are economics-related (labor or regulation topics).
- District Courts: ~1 million federal criminal sentencing decisions (1992-2003, TRAC), matched to the sentencing judge.
- District Courts (text): universe of published district opinions matched to authoring judge (N = 508,325) for the language measure.
- Manne attendance records (1976-1999) from Butler (1999), FOIA requests, and the GMU Law and Economics Center.
- Judge biographies from the Federal Judicial Center; secondary hand-coded Songer-Auburn liberal/conservative vote labels (5% sample).

Manne's Reach in the U.S. Circuit Courts

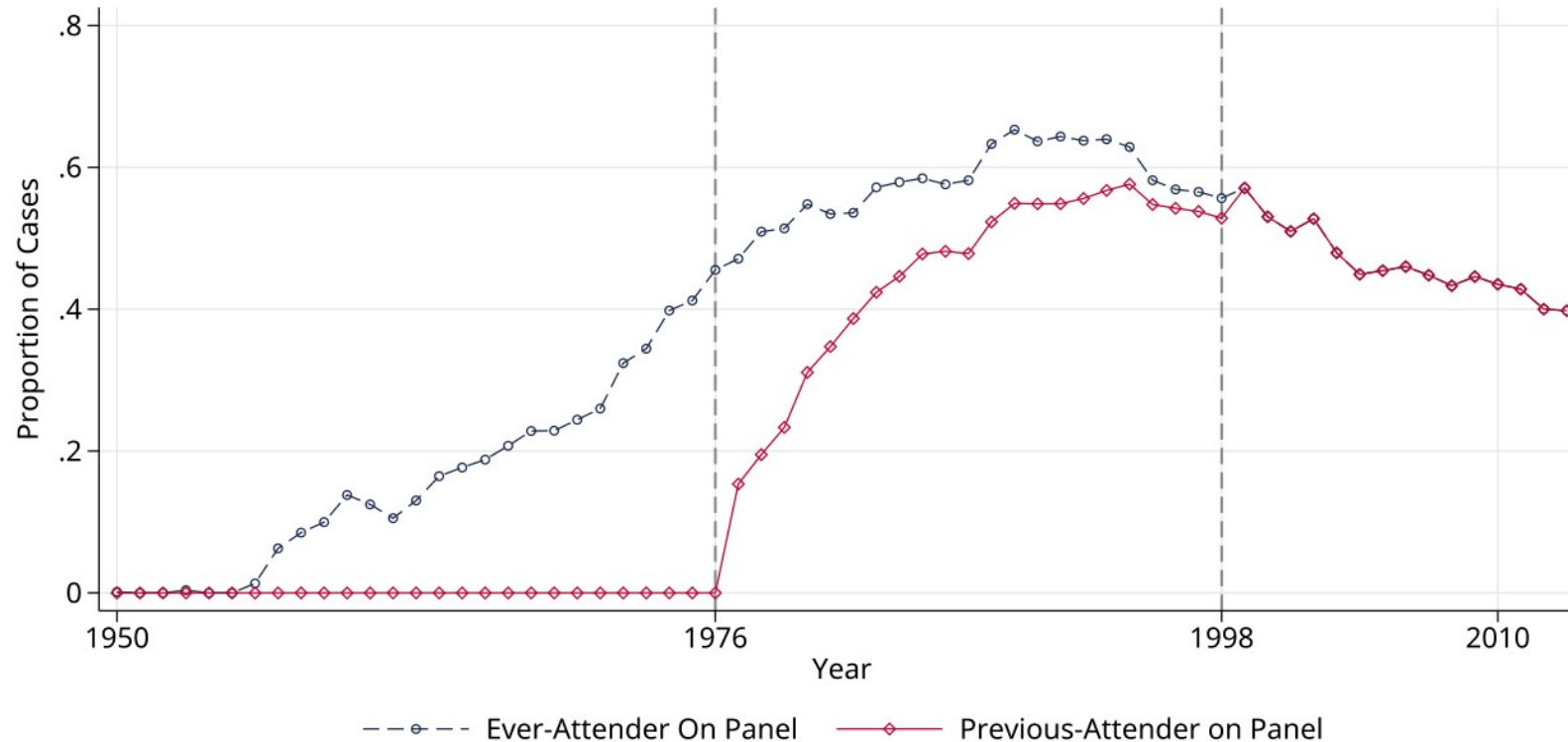


FIGURE I

Note: Share of circuit court cases with a Manne-trained judge on the three-judge panel, by year (1950-2013). Blue dashed (circles) = a judge who ever attended; red (diamonds) = a judge who had already attended by that year. By the late 1990s about half of cases had a Manne panelist. (Figure I, p. 853)

NLP Method: Measuring Economics Language in Opinions

- Goal: quantify how much a judge's written opinions use economic reasoning, from the opinion text alone.
- Anchor: the Ellickson (2000) lexicon of law-and-economics terms (externality, transaction costs, efficiency, deterrence, cost-benefit, ...).
 - Naive term-counting fails: these terms are rare in opinions, giving mostly zeros and almost no variation.
- Solution - word embeddings (word2vec): learn dense word vectors from co-occurrence, so semantically related words sit close together in vector space.
- Measure = cosine (semantic) similarity between each opinion and the economics-lexicon vector - a continuous score capturing implicit, contextual economic reasoning.
- Validated: NO effect on generic academic (law-review) language or on statistical/quantitative language - the shift is CONCEPTUAL economics, not jargon or econometrics.

Empirical Design & Identification

- Event study / difference-in-differences: the within-judge change in outcomes after Manne attendance, relative to colleagues in other cohorts.
- Judge fixed effects + court-by-year fixed effects; cases are quasi-randomly assigned within a court-year, making case portfolios comparable.
- Identifying variation = short-run timing of attendance, driven by first-come, first-served and oversubscribed classes (esp. the pre-1987 'heyday').
- Control group = not-yet-attenders and already-attenders; never-attenders excluded (they differ on both levels and trends).
- Selection checks: covariates predict WHO attends but rarely WHEN; robust to elastic-net controls x time, pre-1987 sample, and peer-share controls.
 - Limits: identifies short-run effects on ever-attenders; cannot fully rule out endogenous timing on unobservables.

Result 1: Economics Training Increases Economics Language

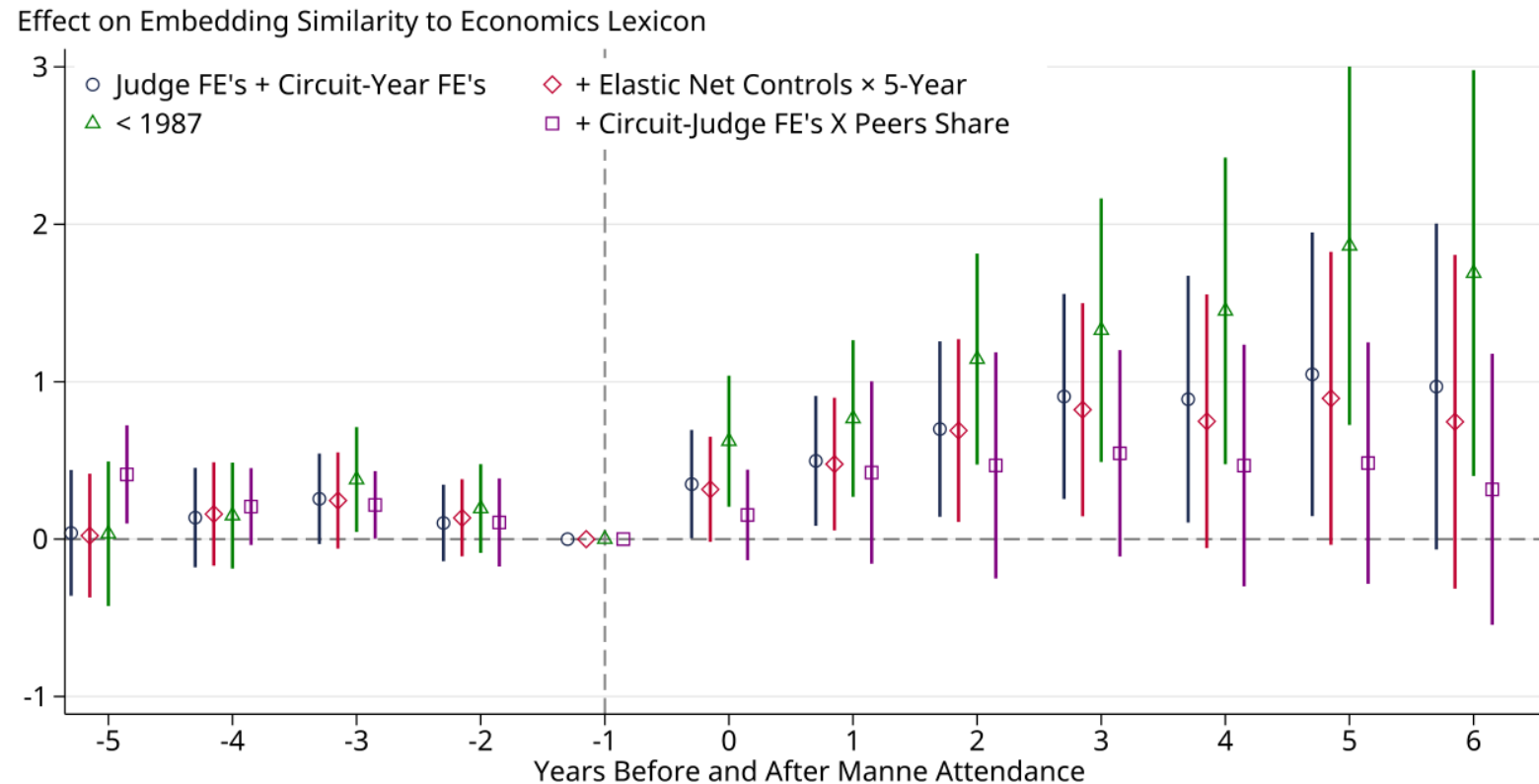


FIGURE III

Note: Event-study estimates of the effect of Manne attendance on embedding similarity of an opinion to the law-and-economics lexicon (economics cases, opinion authors). Flat pre-trends, a discrete jump after attendance, significant for ~3 years; ~0.36 SD, largest in the pre-1987 period. Four specifications; 95% CIs, SEs clustered by judge. (Figure III, p. 869)

Result 2: Ruling More Against Regulatory Agencies

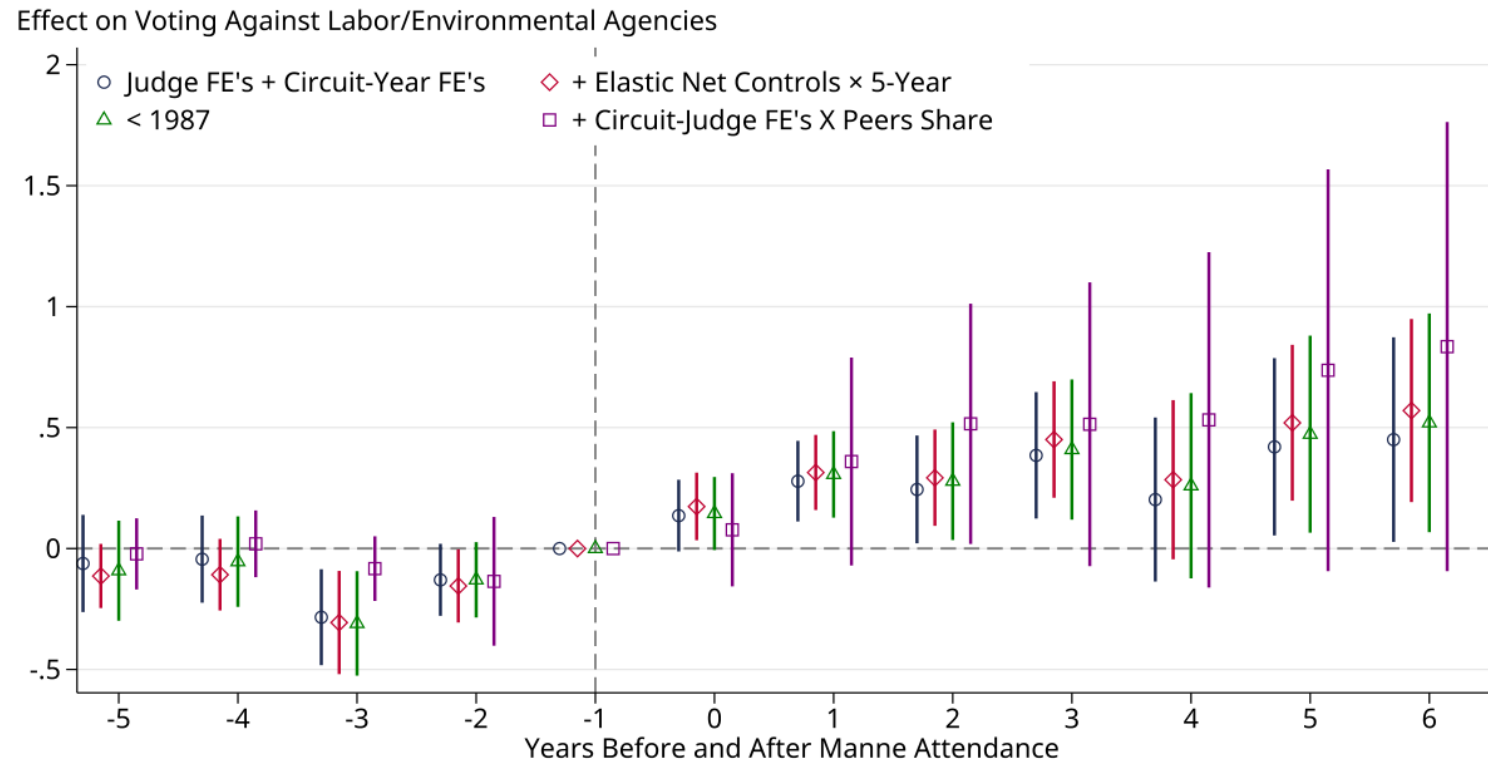
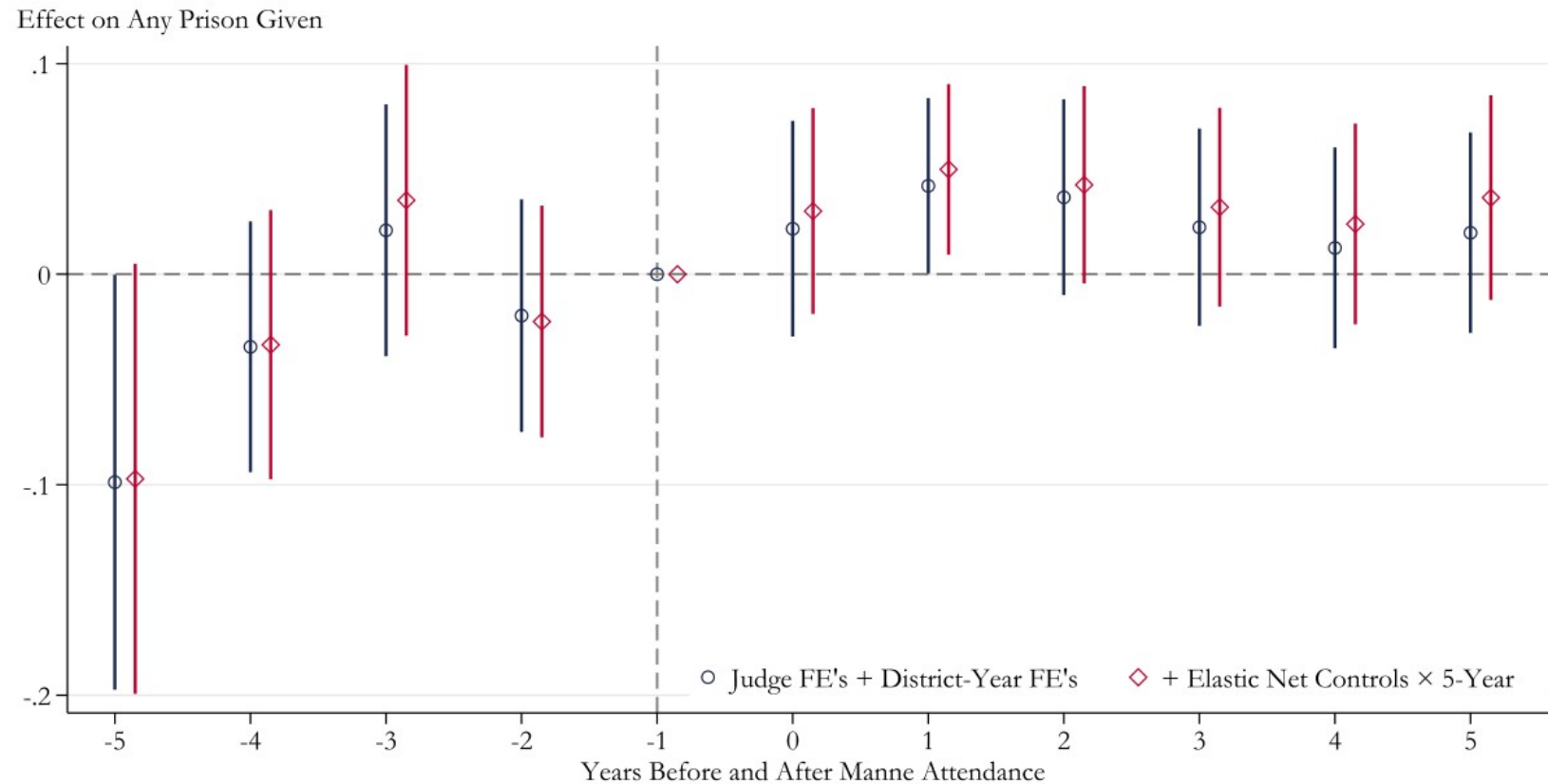


FIGURE IV

Note: Event-study estimates of the effect on voting against federal labor and environmental agencies (NLRB, Dept. of Labor, EPA). After attendance, Manne judges are markedly more likely to rule against these regulators - about a 15% increase - robust to elastic-net controls, the pre-1987 sample, and peer-share controls. (Figure IV, p. 872)

Result 3: Harsher Criminal Sentences



Note: Event-study estimates of the effect on imposing any prison sentence, district courts 1992-2003. Incarceration rises after attendance (+6.2 pp short run, +3.5 pp long run, both significant); no effect on sentence length, reflecting binding federal sentencing guidelines. (Figure V, p. 875)

Summary of Effect Magnitudes (Circuit Courts)

TABLE I
REGRESSION ESTIMATES: THE EFFECT OF THE MANNE PROGRAM IN CIRCUIT COURTS

	Economics language				Voting against regulators			
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Manne	0.363 (0.1340) 5,261	0.430 (0.1805) 3,214	0.010 (0.0947) 10,305	0.440 (0.1559) 4,108	0.162 (0.0675) 2,650	0.175 (0.0739) 2,082	0.169 (0.0474) 4,244	0.177 (0.0649) 2,581
	Conservative vote (econ case)				Conservative vote (nonecon case)			
	(9)	(10)	(11)	(12)	(13)	(14)	(15)	(16)
Manne	0.265 (0.1316) 804	0.126 (0.1177) 586	0.043 (0.0710) 1,589	0.070 (0.0722) 766	0.059 (0.0741) 2,408	0.035 (0.0928) 1,538	0.022 (0.0476) 4,859	0.064 (0.0893) 1,959
Year fixed effects	X	X	X	X	X	X	X	X
Judge fixed effects	X	X	X	X	X	X	X	X
Pre-1987	Short run	Short run	Long run	Long run	Short run	Short run	Long run	Long run
		X		X		X		X

. Summary of the estimated effects of Manne training on circuit court case outcomes, indicated by column headers. Specifications are the same as detailed in the associated tables for each outcome. All regressions include court-year and judge fixed effects. For economics language, the sample is limited to economics cases and opinion authors. "Short run" indicates the event-study sample. "Long run" includes ever-attenders for all years. Pre-1987 means limiting to years 1986 and earlier. Standard errors (in parentheses) are clustered at the judge level, and observations are weighted to treat judge-years equally.

Note: Difference-in-differences estimates (Post Manne coefficient, SE, N per column). Economics language +0.36 to +0.44 (cols 1-4); voting against regulators +0.16 to +0.18 (cols 5-8); conservative voting jumps in economics cases (cols 9-12, e.g., +0.27 short run) but not in non-economics cases (cols 13-16). All include judge and court-year FE; SEs clustered by judge. (Table I, p. 868)

Takeaways & Broader Impact

- After economics training, judges use more economics language, rule against regulators more often, and impose harsher criminal sentences.
- Effects concentrate in economics-related cases and in the early period when law and economics was still novel - consistent with genuine persuasion, not partisanship.
- Magnitude: implied persuasion rate ~8% (comparable to the 'Fox News effect'); the program could account for ~9% of the rise in judicial conservatism.
- Scale of reach: Manne-trained circuit judges voted on 84,000+ circuit decisions - effects propagate through precedent well beyond attenders.
- Why economics? Delivered by credentialed academics as a rigorous social science, it was especially effective at persuading even skeptical professionals.
- Bottom line: ideas - not only institutions or partisanship - shape high-stakes public policy decisions.